LAMBO 2026 Finals: Executive Brief

FROM SARI-SARI TO SUKIMART

The Situation

For 13 years, Cristina "Tina" Mahinay has run a successful sari-sari store from her house. She operates on a simple rule: a **20% markup**. Because she pays no commercial rent, takes no formal salary, and absorbs electricity into her household bill, this markup leaves her with roughly **₱25,800** a month. She has saved ₱600,000.

Watching a branded 24-hour convenience store thrive 1.4km away, Tina wants to upgrade. She plans to secure a ₱750,000 cooperative loan to transform her shop into a formal, air-conditioned convenience store named **SukiMart**. But her daughter has raised a critical red flag: *Once rent, payroll, electricity, and loan amortizations are formalized, will the 20% markup still be enough to survive?*

The Decision

Your team must act as Tina's strategic advisers. Review the data, identify the hidden risks of formalizing an informal business, and recommend one definitive 12-month path:

1. **Make the full jump:** Build SukiMart immediately, financed by savings and the loan.
2. **Transition in stages:** Upgrade deliberately, funding improvements from cash flow and delaying the loan.
3. **Stay a sari-sari:** Abandon the expansion and optimize the existing business model using modern tools.

Financial Snapshot: Today

Metric	Amount (PHP)
Monthly Gross Sales	180,000
Cost of Goods Sold	148,500
Gross Profit (17.5% margin)	**31,500**
Cash Operating Costs	5,700
Cash Left for Tina	**25,800**

Note: Tina's labor (worth ~₱16k/mo) and commercial rent are currently unpriced.

Financial Projection: SukiMart

New Fixed Costs	Amount (PHP)
Rent (Commercial Space)	28,000
Electricity (Aircon/Chillers)	22,000
Staff (3 pax, 16h/day)	39,000
Loan Amortization (48 mos)	22,000
Owner Salary + Other Expenses	36,000
Total Monthly Fixed Cost	**147,000**

Required Capital: ₱1,350,000. Loan Interest: 18% p.a.

Market & Operational Realities

- **Traffic:** 1,800 daily passersby. Current daily transactions: ~96. Benchmarks for SukiMart: 150 to 450 transactions.
- **Competition:** 6 existing sari-sari stores within 300 meters.
- **Operations:** Expanding from 160 SKUs to 900 SKUs. Tina currently tracks everything in a notebook.
- **Traffic Spikes:** 28% of daily traffic hits in a 3-hour window (4 PM – 7 PM).
- **Product Mix Trap:** Tina's highest volume items (load, cigarettes) have the lowest margins (8-9%). High-margin items (ready-to-eat meals at 50% margin) carry an 8-15% spoilage risk if demand is misjudged.

The AI Imperative: Enterprise-grade AI is too expensive for this business. However, targeted AI built into her affordable POS software can save her. Your solution must apply affordable AI to solve a specific, quantified

> operational problem (e.g., spoilage forecasting, dynamic staff scheduling, or inventory optimization) to lower SukiMart's break-even point.

The Deliverable

Present a maximum **15-slide PDF deck** that proves your recommended path using a realistic financial break-even analysis. Quantify the impact of your AI solution in pesos saved or revenue protected. You will have 7 minutes to pitch on the LAMBO main stage, followed by 5 minutes of Q&A.